

The Economic Implications of Universal Basic Income

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Universal Basic Income is a theorized economic and social welfare tool available to be implemented by governments globally. This paper will examine the current literature, analysis of the topic including case studies followed by the economic shifts resulting from this policy as well as potential future developments in the field. The overall aim is to discuss the economic feasibility of UBI in a historic and current context to see if it is a viable tool for policy makers in order to form a stronger economy and raise living standards.

Literature Review

Universal basic income is the idea that all citizens should receive a regular sum of money from the government regardless of employment status or income level. The approach has economic implications that have been widely debated.

Universal basic income can cause stress for citizens because of the need to meet housing, healthcare, and daily essentials standards. Not having enough money can cause distress for many families; the universal basic income may not be enough for some, extensive families. “The current benefit system causes enormous stress resulting in poor mental and physical health” (Fitzpatrick, 2022). A system that is meant to benefit citizens should not cause stress. Some research indicates that “UBI, of itself, will therefore never offer the solution to poverty and a housing crisis” (Fitzpatrick, 2022); instead, what would help is reducing housing prices and essentials to a moderate level.

Universal basic income tends to reduce the amount of supply labour in the economy. Typically, other policies encourage labour participation, but universal basic income provides income unconditionally without requiring people to work, reducing the labour force supply. “UBI proposals move policy in the opposite direction, and in general can be expected to reduce labour supply relative to a no-transfer hypothetical baseline to the status quo” (Hoynes &

Rothstein, 2018). Since universal basic income offers income to everyone regardless of employment status, some may choose not to work.

Inflation risk is another debate of universal basic income. “Possibly inflationary risks are one of the most debated possible effects of a UBI and a central concern of low-income individuals” (Gentilini, Grosh, Rigolini, & Yemtsov, 2019). Universal basic income will inject more money into circulation, which will cause inflation because the increase in reserves leads to higher inflation. With higher inflation, prices will increase, and it will be harder for families to support, and universal basic income will not be enough.

The concept of universal basic income has potential benefits and economic challenges. Some concerns include financial distress and insufficiency for citizens, and a reduction of labour supply. However, it's the potential inflation risks that demand our attention. Universal basic income is designed to provide financial relief, but it's crucial to understand that it may not fully address economic disparities and could introduce new economic challenges.

Analysis

Universal Basic Income or UBI at its surface is a very simple policy in which people receive a cash transfer or some equivalent on a monthly or yearly basis that is meant to be seen as a tool to address inequality in society. Looking below the surface, there are several additional benefits and constraints of UBI that will be discussed throughout this section including its economic and social implications through multiple methods, including a short case discussion and relevant data to substantiate statements made.

Throughout research, there is a common theme that arises between UBI and Conservative political parties as they believe that UBI is a socialist policy that is designed to redistribute wealth towards the less fortunate parts of society. While that may be true with historical welfare

programs which are designed to assist the impoverished countries, UBI aims to address social and economic stress through non-discriminatory, fixed cash payments that are designed to raise the standard of living for all people by allowing them to spend the money at their discretion. This means that consumers at different economic levels such as low income, middle class, and upper class can utilize the funds respectively for additional recreational spending, essential services, or even to help meet basic needs more effectively such as food and shelter. However, not all impacts of cash transfers are viewed as positive in the research as Lawhon and McCreary pointed out in their article that certain researchers examining UBI and cash transfers have found impacts such as “reduced hours of waged labour, increasing time spend on care work activities, education and exploration of self-employment” (Lawhon & McCreary, 2023). Framing this from an individual perspective, you can see that these cash transfers give more power to workers, meaning the financial relationship between the employer and employee is skewed as the compensation for labour at work is lessened when receiving a cash transfer or UBI payment, which has the effect of a weakened labour economy until standards are raised to compensate the additional income from UBI.

In terms of case studies, there are several considerations when examining these materials. The first is that there has not been a full scale UBI system implemented nation-wide at the time of writing this report, meaning that long term and macroeconomic effects might be diminished through the sample size and duration of the studies. Another important fact is that not all studies have been done in countries with similar economic standing, with the one examined in this paper coming from Finland, somewhere with a different economy and culture. Looking at the study conducted in Finland, which took place in 2017-2019 and involved 2,000 individuals, who were placed in the program as opposed to volunteering, between the ages of 25 and 58 who were

currently receiving flat-rate unemployment assistance with the aim being to encourage these individuals to find new work. This study replaced their current 300-euro unemployment assistance with a 560-euro monthly cash sum and did not impose sanctions on accessing “active labour market policy programmes” (Hiilamo, 2022), with the control group being the other citizens who were still collecting the normal unemployment assistance. It was highlighted in the research that the conditions for the second year of the study changed, as governmental policy referred to as the “activation model” took the discretion away from the participants and introduced more conditions, thus skewing the second year of data from the study. Examining the results, it was shown that the “The average number of days of employment between November 2017 and October 2018 was 78 for the basic income group, while the corresponding figure for the control group was 73” (Hiilamo, 2022), showing that there was not a large increase in employment and cannot be tied to basic income for the increase, however it did show that “The average scores for life satisfaction, from 0 (lowest) to 10 (highest), were 7.3 for the basic income group and 6.8 for the control group”(Hiilamo, 2022), meaning that the subjective standard of living was higher for the individuals receiving the UBI payments.

Examining some current trends in a more familiar context, Canada has been researching utilizing Universal Basic Income, specifically looking at a pilot program developed for Ontario in 2017, which has been used to pass Bill S-223 (Parliament S-223). The case study was designed to assist low-income residents and used a 4,000-participant sample with “Payments were based on 75 percent of Statistics Canada’s Low-Income Measure (LIM). A single individual received \$16,989 annually, less 50 percent of earned income, while couples received \$24,027 less 50 percent of any combined earned income” (Office of the Parliamentary Budget Officer, 2021). The purpose was to see if the implementation of non-discriminatory funding

would assist low-income participants in their standard of living. While the program was cancelled and only ran for approximately 7 months, a survey conducted after found that “34 percent of participants found that the basic income supported employment by enabling transportation, childcare, or the ability to start or expand a business” and “74 percent of respondents said they were able to make healthy food choices” (Office of the Parliamentary Budget Officer, 2021), showing that while this experiment was expensive and was ultimately cancelled, it did improve living standards for the individuals participating, with a majority claiming that previous problems were re-aggravated after the payments were cancelled. Bill S-233, which is an act to develop a framework for administering a GBI, or guaranteed basic income to all residents across Canada was born out of this Ontario pilot program and shows that UBI does have a place in governmental policy as a means for social service. However, given estimates by the Parliamentary Budget Officer, it would cost approximately \$87.6 billion dollars to implement a Canada wide GBI or UBI, which would account for a large portion of government spending and result in cuts to other assistance programs and tax cuts in order for it to be feasible (Office of the Parliamentary Budget Officer, 2021).

Economic Shifts and Impacts

Universal Basic Income (UBI) represents a significant economic shift with potential effects on labor markets, income distribution, and overall economic stability. A major concern is whether UBI would reduce workforce participation by disincentivizing work. While some argue that a guaranteed income could lead to lower employment rates, studies suggest otherwise. The Ontario Basic Income Pilot found that recipients largely continued working but used the financial security to pursue education, caregiving, or entrepreneurship (Office of the Parliamentary Budget Officer, 2018). These findings align with other basic income trials, where

participants reported improved well-being without significantly reducing their labor participation (Forget, 2011).

Another important aspect of UBI is its potential to reduce income inequality and alleviate poverty. Current government transfer programs in Canada have successfully lowered poverty rates, and a well-structured UBI could enhance financial stability for vulnerable populations (Statistics Canada, 2018). Additionally, by increasing the disposable income of low-income households, UBI could stimulate consumer spending, leading to economic growth and job creation. However, funding remains a critical challenge. The cost of implementing a national UBI program in Canada has been estimated at over \$85 billion annually, requiring substantial financial restructuring (Office of the Parliamentary Budget Officer, 2021).

Potential Future Developments

As automation and artificial intelligence continue to reshape industries, job displacement is becoming a growing concern. UBI is often discussed as a potential solution to support workers transitioning into new careers or reskilling for evolving job markets. Research suggests that automation-driven job losses will disproportionately affect lower-income workers, making income support programs like UBI more relevant in the future (Hoynes & Rothstein, 2019).

Additionally, the COVID-19 pandemic exposed gaps in existing social safety nets, reinforcing the argument for a more robust income security system. A hybrid model, where UBI works alongside targeted welfare programs, could provide both universal financial security and continued support for those with specific needs.

Policy Recommendations

To ensure an effective UBI system, policymakers should implement large-scale pilot programs to assess its economic and social impacts. These trials would provide valuable data on

how UBI affects employment, poverty levels, and overall economic growth. Additionally, UBI should be integrated with existing social programs rather than replacing them entirely to ensure that individuals with specific needs continue receiving necessary support. A sustainable funding mechanism is also crucial, with potential options including progressive taxation and automation levies to finance the program without placing an undue burden on the economy. Moreover, continuous monitoring and evaluation should be established to measure UBI's long-term economic effects and make necessary adjustments. With careful planning and a balanced approach, UBI has the potential to reduce poverty, enhance economic resilience, and support individuals in adapting to a changing labor market.

Conclusion

Universal Basic Income is a polarizing policy tool that can be used to mitigate poverty, reduce financial stress, and help raise the standard of living for those who require it most. It does require there to be systems in place to gain the full benefit from these cash transfers as discussed in the policy recommendations section as an influx of cash without proper systems to help individuals has the possibility to do as much harm as it does good. Looking at case studies and literature review it is apparent that with current capitalist market structure UBI does not have a strong place as a social service, however with changing global economies and societal norms there are pieces of foundational work such as Bill S-233 that must come first before a full scale UBI can operate and the macroeconomic effects can be viewed.

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